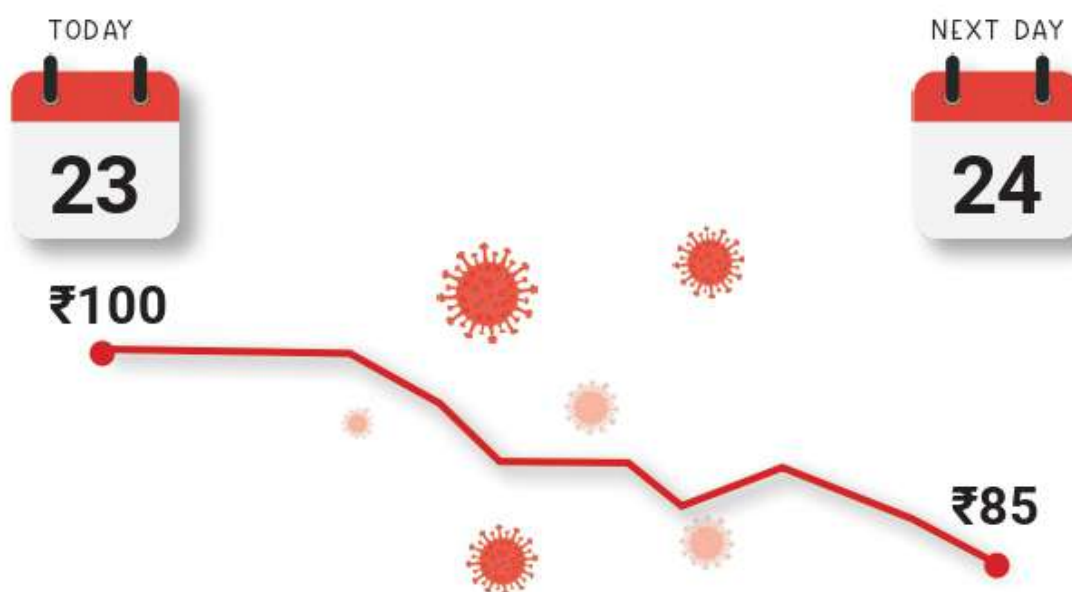




ANOTHER DRAWBACK OF STOP LOSS IS THAT IT DOES NOT WORK WITH OVERNIGHT RISK.

So, let's say the market closed at ₹100 today. Overnight there was some news that negatively affected the share. In this case, the markets would open the next day at a lowered price, say ₹85.



Our stop loss in such scenario would not work. It will not work while the markets are close. Such gaps are then borne by us as losses above our maximum loss bar.

The above are the two major limitations with stop losses. Other than this, it is a very widely used and popular risk management method.